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1. Occupational Licensing in the United States

Authors: Janna E. Johnson

DOI: [10.1257/jep.20251458](https://doi.org/10.1257/jep.20251458)

Online: 2026-02-01

Fields & Theories:

- **Fields:** Labor Economics, Public Economics, Industrial Organization
- **Theories:** Rent-seeking, Information Asymmetry, Barriers to Entry, Regulation

Abstract:

Occupational licensing—the requirement that individuals attain a license to legally perform a specific job—is now necessary for over a fifth of the US workforce. The policy is intended to protect consumers by ensuring members of licensed occupations meet a minimum quality standard but comes at the cost of higher prices for their services. Economic theory and research support the argument that at least in some cases the costs of licensure exceed its benefits. Incumbent members of licensed occupations gain from the higher wages caused by licensure policies, creating a strong incentive for them to push for stricter regulations and resist any efforts to remove or loosen licensure requirements. However, despite bipartisan interest in licensure reform, data limitations and vast heterogeneity in licensure policies limit the usefulness of existing research in guiding its design.

Johnson - Occupational Licensing in the United States.pdf

2. Global Labor Mobility between Shrinking and Growing Labor Forces

Authors: Lant Pritchett

DOI: [10.1257/jep.20251461](https://doi.org/10.1257/jep.20251461)

Online: 2026-02-01

Fields & Theories:

- **Fields:** International Trade, Development Economics, Labor Economics, Demographics
- **Theories:** Demographic Transition, Labor Productivity, Gains from Trade

Abstract:

Falling fertility and improved mortality create a powerful and inexorable demographic arithmetic of ageing in the coming decades around the world, with three patterns. The richest countries, along with China and the Former Soviet Union, will see absolute declines in the labor force aged (15-64) population and absolute rises in those 65 plus. All major developing country regions except for Africa: Latin America, South-East Asia and Pacific, South Asia, and West Asia/Middle East, will experience modest labor force growth to 2050 (less than 30 percent) aged combined with rapid growth of those over 65 (doubling or tripling). The fall in fertility in Africa (Sub-Saharan and North) started later and has fallen much less and hence, in standard scenarios for 2050, Africa will account for 80 percent of all global net growth in the world's labor force aged. A fundamental feature of the global economy over the medium-run to 2050 is that that highest labor productivity countries will have absolutely fewer native-born workers and Africa, home to many of the world's lowest productivity countries, will have 800 million more labor force aged. The combination makes possible gains on the order of trillions of dollars to policies that creating legal pathways to allow people, particularly youth, to move from low productivity, labor abundance places to high productivity, labor scarcity places. But, so far, politics has not found the way to "yes" for this win-win scenario.

Pritchett - Global Labor Mobility between Shrinking and Growing Labor Forces.pdf

3. From Asia, with Skills

Authors: Gaurav Khanna
DOI: [10.1257/jep.20251454](https://doi.org/10.1257/jep.20251454)
Online: 2026-02-01

Fields & Theories:

- **Fields:** Labor Economics, International Trade, Economics of Innovation
- **Theories:** Human Capital, Brain Gain, Innovation, Diaspora Networks

Abstract:

This paper examines the rise of high-skill migration from Asia to the United States since 1990 and its consequences for sending and receiving economies. Over 1990–2019, migrants from India, China, South Korea, Japan, and the Philippines accounted for over one-third of US growth in software developers and a quarter of the increase in scientists, engineers, and physicians. Using census microdata, visa records, and administrative sources, I show how growing US demand for talent in information technology, higher education, and health-care interacted with Asia’s demographic and educational transformations. Policy reforms in the H-1B, F-1, and J-1 programs and sectoral shifts—such as the internet revolution and aging-related healthcare demand—generated persistent needs for foreign students and workers. Asian economies were uniquely positioned to meet this demand through tertiary expansion, strong STEM institutions, English proficiency, and diaspora networks. These inflows boosted US innovation while fostering “brain gain” and “brain circulation” in Asia.

Khanna - From Asia, with Skills.pdf

4. Family Institutions and the Global Fertility Transition

Authors: Paula E. Gobbi, Anne Hannusch, Pauline Rossi
DOI: [10.1257/jep.20251460](https://doi.org/10.1257/jep.20251460)
Online: 2026-02-01

Fields & Theories:

- **Fields:** Development Economics, Labor Economics, Cultural Economics, Demographics
- **Theories:** Demographic Transition, Institutional Economics, Human Capital, Cultural Diffusion

Abstract:

Much of the observed cross-country variation in fertility aligns with the predictions of classic theories of the fertility transition: countries with higher levels of human capital, higher GDP per capita, or lower mortality rates tend to exhibit lower fertility. However, when examining changes within countries over the past 60 years, larger fertility declines are only weakly associated with greater improvements in human capital, per capita GDP, or survival rates. To understand why, we focus on the role of family institutions, particularly marriage and inheritance customs. We argue that, together with the diffusion of cultural norms, they help explain variations in the timing, speed and magnitude of the fertility decline. We propose a stylized model integrating economic, health, institutional and cultural factors to study how these factors interact to shape fertility transition paths. We find that family institutions can mediate the effect of economic development by constraining fertility responses.

Gobbi - Family Institutions and the Global Fertility Transition.pdf

5. The Economics of Noncompete Clauses

Authors: Evan Starr
DOI: [10.1257/jep.20251457](https://doi.org/10.1257/jep.20251457)
Online: 2026-02-01

Fields & Theories:

- **Fields:** Labor Economics, Industrial Organization, Law and Economics
- **Theories:** Contract Theory, Agency Theory, Market Power, Labor Mobility

Abstract:

For over 600 years, debates over noncompete clauses have centered on whether they function as efficient contracting tools or anticompetitive restraints on workers. This article reassesses that debate in light of recent policy attention and new empirical and theoretical research. Proponents argue that noncompetes are necessary to protect investments in training and trade secrets, increasing productivity and wages. However, recent studies indicate that the widespread use of noncompetes—frequently extending beyond roles involving sensitive information—and their enforceability lower mobility, wages, innovation, and entrepreneurship. Moreover, in many cases, less restrictive contractual terms appear to safeguard firm interests. Evidence of spillovers to other workers and across state boundaries, as well as behavioral effects even when noncompetes are unenforceable, raises questions about whether existing state-level enforcement regimes adequately address their observed impacts.

Starr - The Economics of Noncompete Clauses.pdf

6. Labor Market Power: From Micro Evidence to Macro Consequences

Authors: David Berger, Kyle Herkenhoff, Simon Mongey

DOI: [10.1257/jep.20251456](https://doi.org/10.1257/jep.20251456)

Online: 2026-02-01

Fields & Theories:

- **Fields:** Labor Economics, Macroeconomics, Industrial Organization, Monopsony
- **Theories:** General Equilibrium, Strategic Behavior, Structural Estimation

Abstract:

The traditional theoretical and empirical “micro approach” to studying labor market power (or monopsony) requires that firms are small and atomistic. This is at odds with the reality of labor markets in which monopsony potentially matters most. Empirically, many markets are concentrated and characterized by large, dominant employers. The actions of large employers in an occupation or industry affect local and national wages, employment and output. Employers that understand their largeness may then act strategically when hiring and setting wages, generating misallocation and harming workers. This paper advocates for a “macro approach” : (1) directly model equilibrium behavior of large employers, (2) combine macro data and empirical estimates of employers’ responses to policy changes—obtained using the “micro approach”—to estimate the model, (3) use the model to compute the aggregate costs of monopsony, and optimal policies. This approach provides new perspectives on minimum wage and antitrust policy.

Berger - Labor Market Power From Micro Evidence to Macro Consequences.pdf

7. How Much Would Continued Low Fertility Affect the US Standard of Living?

Authors: David N. Weil

DOI: [10.1257/jep.20251462](https://doi.org/10.1257/jep.20251462)

Online: 2026-02-01

Fields & Theories:

- **Fields:** Macroeconomics, Health Economics, Demography
- **Theories:** Simulation Models, Capital Accumulation, Endogenous Growth

Abstract:

I assess the effect of continued sub-replacement fertility on age-adjusted consumption per capita. Channels assessed include transfers from working-age adults to children and the elderly, the effect of the labor force growth rate on required capital investment, sustainability of government debt, the interaction of population size with fixed natural resources (including a clean environment), and the effect of population size on the speed of technological progress. To isolate the effect of low fertility from other ongoing demographic changes, I use simulation models as well as projections from the United Nations and Social Security Administration that vary fertility rates while holding other factors constant. My main finding is that the impact of low

fertility is likely to be negative but small. In addition, this negative impact arrives only after a long adjustment period. An increase in fertility back to the replacement rate would lower the standard of living for several decades.

Weil - How Much Would Continued Low Fertility Affect the US Standard of Living.pdf

8. The Likelihood of Persistently Low Global Fertility

Authors: Michael Geruso, Dean Spears

DOI: [10.1257/jep.20251463](https://doi.org/10.1257/jep.20251463)

Online: 2026-02-01

Fields & Theories:

- **Fields:** Health Economics, Demography, Development Economics
- **Theories:** Cohort Analysis, Demographic Transition, Policy Evaluation

Abstract:

For the world as a whole, average birth rates have been falling for decades—from about 5 in 1950 to a little above 2 today. Two-thirds of people today live in a country where the birth rate is below an average of two children per two adults, which means below the fertility level needed to sustain population sizes (without net migration). In this paper, we assess whether low fertility is likely to persist as a global phenomenon. We distinguish cohort birth rates, which matter for generation-to-generation population change, from period birth rates, which present a snapshot of birth rates at a point in time, but may offer less insight on longer-run possibilities. Where cohort birth rates have fallen low, they have not subsequently rebounded. We show that both increasing rates of lifetime childlessness and smaller family sizes among parents have contributed to falling cohort birth rates. Pronatal policies, we discuss, can have large effects on the annual fertility data without substantially changing the average number of children women have over their lifetimes. Although future birth rates remain uncertain, we conclude from the evidence that, over a long horizon, persistent low fertility is a likely future.

Geruso - The Likelihood of Persistently Low Global Fertility.pdf

9. Antitrust Enforcement in Labor Markets

Authors: Elena Prager

DOI: [10.1257/jep.20241446](https://doi.org/10.1257/jep.20241446)

Online: 2026-02-01

Fields & Theories:

- **Fields:** Industrial Organization, Labor Economics, Antitrust
- **Theories:** Monopsony, Market Definition, Concentration Indices

Abstract:

Until recently, antitrust laws were rarely enforced in labor markets. Although the existence of labor market power has long been recognized, evidence only recently emerged that such market power regularly arises from sources that are actionable under antitrust law. Since 2010, antitrust agencies have substantially increased labor market enforcement actions. However, many questions relevant to enforcement remain unanswered, such as how to conduct market definition for labor markets and how best to incorporate concentration into models of the labor market. This article reviews how antitrust is beginning to be used in labor markets, the evidence for and against its use, and the remaining evidence gaps standing in the way of more effective use.

Prager - Antitrust Enforcement in Labor Markets.pdf

10. Asian Immigration to the United States in Historical Perspective

Authors: Hannah M. Postel

DOI: [10.1257/jep.20251453](https://doi.org/10.1257/jep.20251453)

Online: 2026-02-01

Fields & Theories:

- **Fields:** Economic History, Labor Economics, Immigration
- **Theories:** Historical Analysis, Policy Regime Analysis

Abstract:

Asian Americans are the fastest-growing immigrant group in the United States, yet Asian immigration remains relatively understudied in quantitative social science. This paper reviews the historical evolution of Asian immigration, focusing on six major origin countries—China, Japan, India, the Philippines, Korea, and Vietnam—to show how US immigration and foreign policy shaped the size and composition of immigrant arrivals. It then examines subsequent patterns of demographic composition, geographic settlement, and socioeconomic characteristics. Taken together, the evidence highlights the enduring influence of US policy regimes on Asian immigration over time.

Postel - Asian Immigration to the United States in Historical Perspective.pdf

11. Physician Competition: Entry and Substitution

Authors: Joshua D. Gottlieb, Sean Nicholson

DOI: [10.1257/jep.20251473](https://doi.org/10.1257/jep.20251473)

Online: 2026-05-01

Fields & Theories:

- **Fields:** Health Economics, Labor Economics, Industrial Organization
- **Theories:** Entry Barriers, Occupational Licensing, Market Competition

Abstract:

We describe competition in the physician market, focusing on how entry barriers and substitution possibilities have changed in recent decades. Regulatory caps on medical school seats and residency slots—especially for high-paying specialties—continue to ration entry, generate high returns for those who gain these slots, and direct the most academically accomplished trainees toward lucrative fields. But trained physicians increasingly compete with nurse practitioners, physician assistants, and other mid-level practitioners in the market for patients. Training of these substitutes has expanded far more rapidly than physician supply. We present key facts about the physician pipeline, a conceptual framework linking specialty earnings to entry barriers, and describe the rise of mid-level providers. These facts mean that effective competition policy in physician markets must look beyond conventional concentration measures and focus on the institutions and laws that govern who can provide medical care.

Gottlieb - Physician Competition Entry and Substitution.pdf

12. The Current Era of Health Care Consolidation

Authors: Michael R. Richards, Christopher M. Whaley

DOI: [10.1257/jep.20251472](https://doi.org/10.1257/jep.20251472)

Online: 2026-05-01

Fields & Theories:

- **Fields:** Health Economics, Industrial Organization
- **Theories:** Market Concentration, Bargaining Theory, Vertical Integration

Abstract:

Consolidation in the last few decades has reshaped the organization and structure of US health care markets, among both providers and insurers. Nearly all US hospital and insurer markets exceed established regulatory thresholds for competitive markets, and over half of physicians are now employed by a hospital or health system, which can increase spending for patients, payers, and taxpayers. Increased supply-side concentration can alter the balance of negotiations between providers and insurers. Prices for patients with commercial insurance are approximately 2.5 times the prices paid by those with public insurance. High and variable prices have minimal link with higher quality, and the United States leads peer nations in health care spending. These dynamics have created ongoing national debates over an “affordability crisis” and generates frustrations with the US health care system. This article discusses sources of rising health care spending and potential policy solutions.

Richards - The Current Era of Health Care Consolidation.pdf

13. Regulated Competition in Health Insurance Markets on Two Sides of the Atlantic

Authors: Lukas Kauer, Thomas G. McGuire, Sonja Schillo, Richard C. van Kleeef

DOI: [10.1257/jep.20251474](https://doi.org/10.1257/jep.20251474)

Online: 2026-05-01

Fields & Theories:

- **Fields:** Health Economics, Public Economics
- **Theories:** Regulated Competition, Adverse Selection, Risk Adjustment, Market Failure

Abstract:

Many high-income countries implement their policy of universal health insurance by individual health insurance in combination with regulated competition among insurers. Supported by public intervention, regulated competition can, in principle, address market failures in health insurance and smooth out some inequities in the financial consequences of ill health and in the ability to pay for health insurance. We compare the national systems in Germany, the Netherlands, and Switzerland to the US Marketplaces, all of which use versions of regulated competition. While they show many similarities (for example, open enrollment, community-rated premiums with subsidies, comprehensive benefit package, risk adjustment), we focus on three major differences and their implications for market functioning: (1) mandatory and universal versus voluntary and partial (applying to only one sector of health insurance); (2) greater or lesser profit orientation of insurers; and (3) reliance on markets or regulation to contain costs.

Kauer - Regulated Competition in Health Insurance Markets on Two Sides of the Atlantic.pdf

14. Anticompetitive Contracts Between Insurers and Providers in Health Care

Authors: Anna D. Sinaiko

DOI: [10.1257/jep.20251471](https://doi.org/10.1257/jep.20251471)

Online: 2026-05-01

Fields & Theories:

- **Fields:** Health Economics, Industrial Organization
- **Theories:** Contract Theory, Market Power, Vertical Restraints

Abstract:

For people with private health insurance in the United States, contracts between insurers and providers are important to fostering health care competition and improving efficiency. However, insurer-provider contract provisions do not always advance competition and consumer welfare. This essay discusses the contracting strategies used by insurers to increase competition, and four anticompetitive contract terms: anti-tiering or anti-steering, all-or-nothing, most favored nation, and gag clauses, that may be used by dominant health systems to protect themselves from competition. I conclude with a discussion of policy responses that can be used to address provider use of anticompetitive clauses and that can reduce the negative impacts of provider market power. Understanding anticompetitive contract provisions and the potential policy responses to limit

their impact is critical to health care competition.

Sinaiko - Anticompetitive Contracts Between Insurers and Providers in Health Care.pdf

15. The Economics of Paid Sick Leave

Authors: Stefan Pichler, Christopher Prinz, Stefan Thewissen, Nicolas R. Ziebarth

DOI: [10.1257/jep.20251479](https://doi.org/10.1257/jep.20251479)

Online: 2026-05-01

Fields & Theories:

- **Fields:** Labor Economics, Public Economics, Health Economics
- **Theories:** Negative Externalities, Optimal Policy Design, Social Insurance

Abstract:

This article examines the economics of paid sick leave from both theoretical and empirical perspectives. Research on paid sick leave has evolved dynamically over the last decade, primarily driven by the spread of US sick pay mandates, which have increased paid sick leave access from 63 percent to 77 percent in all US jobs. We begin by discussing the economic rationales for government regulation of paid sick leave, particularly the negative externalities associated with contagious diseases when individuals work while sick. After that, we discuss the key trade-offs in the general design of paid sick leave schemes, along with the trade-offs when setting specific policy parameters. Finally, we review economic modeling approaches to study optimal paid sick leave policies.

Pichler - The Economics of Paid Sick Leave.pdf

16. The Emerging Role of Competition in Health Care

Authors: Paul B. Ginsburg

DOI: [10.1257/jep.20251470](https://doi.org/10.1257/jep.20251470)

Online: 2026-05-01

Fields & Theories:

- **Fields:** Health Economics, Industrial Organization, Public Economics
- **Theories:** Regulation, Market Competition, Incentive Theory

Abstract:

This essay, commissioned to serve as an introduction to the JEP symposium on current competition in health care, provides a historical perspective on the role of both competition and regulation in the financing and delivery of health services since the implementation of Medicare and Medicaid in the mid-1960s. At the beginning of this period, few could perceive a role for competition in healthcare given the key role played by physicians in providing and ordering care and concerns that lower prices might signal lower quality. Initial attempts to slow rapidly rising costs involved various regulatory tools, but over time, regulation increasingly incorporated incentives for providers, to control costs. Competitive approaches began to develop in the late 1970s, in part reflecting broad changes in the nation's political culture. Competitive approaches are now quite widespread, but regulation plays an important role in the structuring of competition and in addressing areas where competition is seen as having less potential.

Ginsburg - The Emerging Role of Competition in Health Care.pdf

17. A Users' Guide to Uncovering Worker and Firm Effects: The ABC of AKM

Authors: Stéphane Bonhomme, Thibaut Lamadon, Elena Manresa

DOI: [10.1257/jep.20231372](https://doi.org/10.1257/jep.20231372)

Online: 2026-05-01

Fields & Theories:

- **Fields:** Labor Economics, Econometrics
- **Theories:** AKM Model, Worker and Firm Heterogeneity, Fixed Effects

Abstract:

The AKM model introduced by Abowd, Kramarz, and Margolis (1999) has become a workhorse to study worker and firm heterogeneity, and to understand the sources of wage dispersion in the labor market using linked employer-employee data. In this article, we introduce the model and estimator, discuss some best practices for estimation, and review some empirical findings on the role of worker and firm heterogeneity in wage dispersion. While the AKM methodology has proven useful to analyze a host of questions in a variety of settings within labor economics and beyond, we also point to the need for methodological developments.

Bonhomme - A Users' Guide to Uncovering Worker and Firm Effects The ABC of AKM.pdf

18. Competition in Health Insurance Markets

Authors: Martin Gaynor, Amanda Starc

DOI: [10.1257/jep.20251459](https://doi.org/10.1257/jep.20251459)

Online: 2026-05-01

Fields & Theories:

- **Fields:** Health Economics, Industrial Organization
- **Theories:** Asymmetric Information, Adverse Selection, Market Power, Antitrust

Abstract:

The United States relies primarily on private health insurance markets, yet these markets are highly concentrated and becoming more so over time. We document concentration across commercial, Medicare Advantage, and Medicaid markets. We then examine how asymmetric information—particularly adverse selection—interacts with market power to shape premiums, plan design, and consumer welfare. Empirical evidence confirms that insurer consolidation raises premiums. We discuss how antitrust enforcement, risk adjustment, regulation, and informational interventions shape competition and consumer welfare in these markets.

Gaynor - Competition in Health Insurance Markets.pdf

19. Understanding Medicaid Managed Care: The Procured Competition Model

Authors: Mark Shepard, Jacob Wallace

DOI: [10.1257/jep.20251475](https://doi.org/10.1257/jep.20251475)

Online: 2026-05-01

Fields & Theories:

- **Fields:** Health Economics, Public Economics, Industrial Organization
- **Theories:** Public Procurement, Regulated Competition, Contract Theory

Abstract:

Medicaid is one of the largest public programs in the United States—providing health insurance to over 75 million low-income Americans—and over three quarters of its enrollees receive care via private “managed care” insurers. In this article, we make three central points about the economics of contracting out Medicaid to private insurers. First, the empirical evidence on Medicaid privatization is mixed: contracting out has not meaningfully reduced public costs or improved quality of care. Second, we propose a framework, which we call “procured competition,” to describe the unique structure of Medicaid managed care as a hybrid of public procurement and regulated competition. Third, we discuss the key policy levers across procurement, competition, and consumer choice in this model. Throughout, we highlight open research questions, arguing that the enormous variation in how states design these programs—combined with limited evidence on what works—represents a promising area for high-impact scholarship.

20. Substitutes for Success? Public Versus Private Competition in Medicare Advantage

Authors: Tim Layton, Luca Maini, J. Michael McWilliams

DOI: [10.1257/jep.20251469](https://doi.org/10.1257/jep.20251469)

Online: 2026-05-01

Fields & Theories:

- **Fields:** Health Economics, Industrial Organization, Public Economics
- **Theories:** Market Power, Welfare Analysis, Barriers to Entry, Competitive Dynamics

Abstract:

We assess the evolving role of competition in Medicare Advantage and its implications for beneficiary welfare. We describe how competition from the public option, traditional Medicare, and other private insurers within Medicare Advantage act as substitutes in incentivizing plans to deliver value. We show that while historically the choice between traditional Medicare and Medicare Advantage provided a vital competitive dynamic, traditional Medicare's strength as a competitor has declined significantly, driven by generous payments favoring private plans. Consequently, the burden of ensuring value for enrollees has shifted to competition within the Medicare Advantage market. While county-level competition among private insurers has increased, this growth is primarily driven by the expansion of large national carriers rather than new entrants. Insurers still wield substantial market power due to significant barriers to entry, raising concerns about the ability of the program to incentivize private insurers to use public dollars to maximize value for beneficiaries.

Layton - Substitutes for Success Public Versus Private Competition in Medicare Advantage.p

21. Retrospectives: The Great Dollar-Shortage Debate

Authors: Harris Dellas, George S. Tavlas

DOI: [10.1257/jep.20251468](https://doi.org/10.1257/jep.20251468)

Online: 2026-05-01

Fields & Theories:

- **Fields:** International Macroeconomics, Economic History
- **Theories:** Intertemporal Approach to the Current Account, Financial Frictions, Fixed Exchange Rates, Triffin Dilemma

Abstract:

The dollar shortage debate—Paul Samuelson called it “the big open question of our time” —dominated international macroeconomics in the 15 years following the end of World War II. There were two main views regarding its cause: financial frictions that limited capital flows to Western Europe (Kindleberger); and over-valued fixed exchange rates versus the US dollar (Friedman). According to Kindleberger the dollar shortage was attenuated by two real factors that contributed to current account deficits: a large technological gap between the United States and Europe; and European impatience to improve living standards. Kindleberger believed that the current account deficit would prove chronic because of the persistence of the productivity gap, a view that was challenged by Bloomfield who argued that it would dissipate through income growth in Europe. We argue that Kindleberger's analytical framework is closely connected to the modern intertemporal approach to current account determination; and, also, that the international reserve function of the US dollar—the Triffin dilemma—did not play a role in the dollar shortage.

Dellas - Retrospectives The Great Dollar-Shortage Debate.pdf

22. The Emerging Market for Intelligence: How Firms Buy and Sell AI

Authors: Mert Demirer, Andrey Fradkin, Nadav Tadelis

DOI: [10.1257/jep.20261506](https://doi.org/10.1257/jep.20261506)

Online: 2026-08-01

Fields & Theories:

- **Fields:** Industrial Organization, Economics of AI
- **Theories:** General Purpose Technology, Market Dynamics, Horizontal and Vertical Differentiation

Abstract:

We describe the emerging business-to-business market for large language model (LLM) inference and document key empirical patterns in its supply, pricing, and dynamics, using data from OpenRouter. First, supply has expanded rapidly: the number of commercially available models, model creators, and inference providers has grown sharply, driven heavily by open-source entrants. Second, the price of intelligence has fallen roughly a thousandfold, and open-source models now cost about 90 percent less than comparable closed-source ones. Third, the market is highly dynamic, with frequent turnover among leading models and creators. Fourth, we document substantial horizontal and vertical differentiation: no single model dominates across use cases, and demand for intelligence varies widely across applications. We place these patterns in historical perspective alongside earlier general-purpose technologies.

Demirer - The Emerging Market for Intelligence How Firms Buy and Sell AI.pdf

23. Should We Tax Trade? A Pigouvian Perspective

Authors: Arnaud Costinot, Iván Werning

DOI: [10.1257/jep.20251491](https://doi.org/10.1257/jep.20251491)

Online: 2026-08-01

Fields & Theories:

- **Fields:** International Trade, Public Economics
- **Theories:** Pigouvian Tax, Optimal Tariff Theory, Externalities

Abstract:

We develop a simple and intuitive Pigouvian perspective on optimal trade policy. Our approach unifies a wide range of rationales for taxing trade, from the classical optimal tariff argument to contemporary debates about global carbon emissions and geopolitics. We also clarify when trade policy intervention is warranted and when alternative domestic instruments should be used instead.

Costinot - Should We Tax Trade A Pigouvian Perspective.pdf

24. US Tariff Policy Since 1789

Authors: Miguel Acosta, Lydia Cox, Andrew Greenland, John Lopresti, Christopher M. Meissner, Martin Rotemberg, Sharon Traiberman

DOI: [10.1257/jep.20251488](https://doi.org/10.1257/jep.20251488)

Online: 2026-08-01

Fields & Theories:

- **Fields:** International Trade, Economic History, Political Economy
- **Theories:** Political Economy of Trade Policy, Institutional Change

Abstract:

We use a newly assembled, tariff-line-level dataset spanning the full history of US trade policy to revisit the evolution of tariffs since 1789. We document the institutional shift from Congressional setting to multilateral negotiation, the steady growth in granularity of the tariff code alongside expanding administrative capacity, and the under-appreciated role of specific tariffs, which feature prominently throughout US history and

whose ad valorem equivalent moves mechanically with prices. We discuss the implications of this relationship for how we interpret past liberalization episodes and for empirical identification of tariff effects. Finally, we outline how the new data can advance research on the political economy of tariff-setting and on the macroeconomic and distributional consequences of trade policy.

Acosta - US Tariff Policy Since 1789.pdf

25. Leniency Designs: An Operator's Manual

Authors: Paul Goldsmith-Pinkham, Peter Hull, Michal Kolesár

DOI: [10.1257/jep.20251480](https://doi.org/10.1257/jep.20251480)

Online: 2026-08-01

Fields & Theories:

- **Fields:** Econometrics
- **Theories:** Instrumental Variables, Jackknife Instrumental Variables (UJIVE), Quasi-Random Assignment, Monotonicity

Abstract:

We develop a step-by-step guide to leniency (a.k.a. judge or examiner instrument) designs, drawing on recent econometric literatures. The unbiased jackknife instrumental variables estimator (UJIVE) is purpose-built for leveraging exogenous leniency variation, avoiding subtle biases even in the presence of many decision-makers or controls. We show how UJIVE can also be used to assess key assumptions underlying leniency designs, including quasi-random assignment and average first-stage monotonicity, and to probe the external validity of treatment effect estimates. We further discuss statistical inference, arguing that non-clustered standard errors are often appropriate. A reanalysis of Farre-Mensa et al. (2020), using quasi-random examiner assignment to estimate the value of patents to startups, illustrates our checklist.

Goldsmith-Pinkham - Leniency Designs An Operator's Manual.pdf

26. Evaluating the Fiscal and Distributional Implications of Tariffs

Authors: Kyle Pomerleau, Erica York

DOI: [10.1257/jep.20251490](https://doi.org/10.1257/jep.20251490)

Online: 2026-08-01

Fields & Theories:

- **Fields:** Public Economics, International Trade
- **Theories:** Fiscal Policy Analysis, Distributional Analysis, Tax Incidence

Abstract:

The Trump administration has enacted a series of significant taxes on imports, including an across-the-board tariff on nearly all imports. Tariffs are now expected to raise nearly 1 percent of GDP in revenue. Given tariffs' growing importance as a source of revenue, it is important to understand their implications for federal finances and the wellbeing of households. This paper describes and reviews current revenue and distributional analyses of tariffs.

Pomerleau - Evaluating the Fiscal and Distributional Implications of Tariffs.pdf

27. Correct (and Incorrect) Inference with a Single Instrumental Variable: Practical Takeaways from the Weak Instruments Literature

Authors: David S. Lee, Jack Porter

DOI: [10.1257/jep.20251464](https://doi.org/10.1257/jep.20251464)

Online: 2026-08-01

Fields & Theories:

- **Fields:** Econometrics
- **Theories:** Instrumental Variables, Weak Instruments, Statistical Inference

Abstract:

Most empirical economists have encountered the warning that instrumental variables can be “weak,” but the underlying issues—what makes an instrument weak, why weakness distorts inference, and what to do about it—are less widely understood. This article offers an accessible introduction to the weak instruments problem for the common just-identified case of a single endogenous regressor and a single instrument. We explain why the usual two-stage least squares t-ratio and its “ ± 1.96 times the standard error” confidence interval can yield incorrect inferences, much as homoskedasticity-only standard errors do when errors are not homoskedastic. We then describe practical, robust-to-weak-instrument solutions—including the Anderson-Rubin and tF methods—that deliver valid confidence intervals whatever the instrument’s true strength, and we offer some do’s and don’ts, notably why the popular “F greater than 10” rule has no theoretical justification in this setting.

Lee - Correct (and Incorrect) Inference with a Single Instrumental Variable Practical.pdf

28. Global Imbalances, Tariffs, and Industrial Policy

Authors: Pierre-Olivier Gourinchas, Gene Kindberg-Hanlon, Manasa Patnam, Lorenzo Rotunno, Michele Ruta

DOI: [10.1257/jep.20261507](https://doi.org/10.1257/jep.20261507)

Online: 2026-08-01

Fields & Theories:

- **Fields:** Macroeconomics, International Trade, Global Imbalances, Industrial Policy
- **Theories:** General Equilibrium, Current Account Dynamics, Intertemporal Choice

Abstract:

Global imbalances denote the distribution of countries’ current account balances, identically equal to the difference between two forward-looking aggregate variables: national saving and domestic investment. Industrial and trade policies have traditionally not been considered important drivers of aggregate saving or investment, and therefore of current account balances. The former because most industrial policies are small in scope; the latter because permanent tariffs have no intertemporal effect in the textbook model, with an offsetting appreciation of the real exchange rate. The rapidly growing use of both industrial and trade policies in recent years calls for a reassessment. This paper presents a framework to think about the role of both policies. For industrial policy, we make the important distinction between the traditional sector-specific policies via subsidies or other targeted instruments (“micro industrial policy”) and broader policies (“macro industrial policy”) that aim to promote industrial developments and competitiveness through the deployment of more aggregate instruments such as financial repression, foreign reserve accumulation, or capital controls. A key finding is that micro industrial policy tends to increase external balances if it fails to raise aggregate productivity. By contrast, macro industrial policy can, under some conditions, boost the current account, forcing other countries to adjust. Yet, these policies often come at the cost of suppressed domestic consumption and possibly domestic welfare. Our analysis confirms that tariffs are a weak tool to improve current account balances. Finally, traditional macroeconomic drivers—such as fiscal policy, demographics or credit cycles—remain critical drivers of global imbalances, especially for the United States and China.

Gourinchas - Global Imbalances, Tariffs, and Industrial Policy.pdf

29. AI and Our Economic Future

Authors: Charles I. Jones

DOI: [10.1257/jep.20261505](https://doi.org/10.1257/jep.20261505)

Online: 2026-08-01

Fields & Theories:

- **Fields:** Macroeconomics, Economics of AI, Growth Theory
- **Theories:** Automation, O-ring Theory, Endogenous Growth

Abstract:

Artificial intelligence (AI) will likely be the most transformative technology of the modern era. What if machines—AI for cognitive tasks and AI plus advanced robots for physical tasks—can perform every task a human can? This essay makes three main points. First, even though US growth rates have been stable at roughly 2 percent per year for 150 years, it is distinctly possible that automating intelligence leads economic growth rates to accelerate. Second, this acceleration is likely to be slowed by the presence of “weak links.” While we each have access to 100 million times more transistors on our desktop computer than people in the 1970s, we are not 100 million times more productive. Computers can invert matrices at lightning speed, but we humans must still decide what matrix to invert, what hypothesis to test, and so on. Accelerating economic growth requires the vast majority of the weak links to be automated away, which delays the large gains. Finally, even though weak links slow the benefits, they may actually speed up the risks. When a chain is only as strong as its weakest link, damaging one link in the chain can be very costly. A powerful AI that is superhuman at software engineering could be misused by a bad actor to do substantial harm by hacking the financial system or a virology lab.

Jones - AI and Our Economic Future.pdf

30. Labor Market Responses to Tariffs: Frictions, Dynamics, and Policy Responses

Authors: Rafael Dix-Carneiro, Brian K. Kovak

DOI: [10.1257/jep.20251489](https://doi.org/10.1257/jep.20251489)

Online: 2026-08-01

Fields & Theories:

- **Fields:** Labor Economics, International Trade, Trade Policy
- **Theories:** Labor Market Frictions, Search and Matching, Adjustment Dynamics

Abstract:

This article introduces the evidence and associated modeling frameworks contemporary economists use to understand the effects of trade and trade policy on labor markets, with a particular emphasis on labor-market frictions and adjustment dynamics. The effects of trade shocks differ across industries, regions, and occupations, implying the presence of important adjustment frictions in labor markets, and these effects evolve slowly over time, implying the need for dynamic frameworks rationalizing slow transitions. After reviewing the key insights from this literature, we discuss policies aimed at mitigating costs to workers and ensuring that the gains from trade are shared more equitably.

Dix-Carneiro - Labor Market Responses to Tariffs Frictions, Dynamics, and Policy Responses

31. The Incidence of Tariffs: Rates and Reality

Authors: Gita Gopinath, Brent Neiman

DOI: [10.1257/jep.20251486](https://doi.org/10.1257/jep.20251486)

Online: 2026-08-01

Fields & Theories:

- **Fields:** International Trade, Public Economics, Tariffs
- **Theories:** Tax Incidence, Pass-through

Abstract:

In 2025, statutory tariff rates on US imports rose to levels not seen in over one hundred years. What were the implications for prices? On the one hand, shipping lags, exemptions, and enforcement gaps kept the

actual implemented rates at only half of the statutory rates, moderating the tariffs' impact. On the other hand, tariff pass-through to US import prices reached 92 percent, so the United States bore a large share of the costs. We study the incidence of the 2018-2019 and 2025 US tariffs and discuss implications for US sourcing, domestic manufacturing costs, and the dollar.

Gopinath - The Incidence of Tariffs Rates and Reality.pdf

Journal of Economic Literature

1. Artificial Intelligence–Powered (Finance) Scholarship

Authors: Robert Novy-Marx, Mihail Velikov

DOI: [10.1257/jel.20251821](https://doi.org/10.1257/jel.20251821)

Online: 2026-02-26

Fields & Theories:

- **Fields:** Asset Pricing, Economics of AI, Financial Economics, Econometrics
- **Theories:** Large Language Models, Stock Return Predictability, HARKing, Empirical Asset Pricing

Abstract:

This paper describes a process for generating academic papers using large language models (LLMs) and demonstrates this process' s efficacy by producing hundreds of complete papers on stock return predictability, a topic well-suited for our illustration. After mining over 30,000 potential return predictors from accounting data, we generate template reports for 95 signals passing rigorous criteria from the Novy-Marx and Velikov (2024) Assaying Anomalies protocol. These templates detail signal performance predicting returns using a wide array of tests and benchmark performance against more than 200 documented anomalies. Finally, for each template we use state-of-the-art LLMs to generate multiple complete versions of academic papers with distinct theoretical justifications for the observed return predictability, incorporating citations to literature supporting their respective claims. This experiment illustrates the potential of artificial intelligence (AI) for enhancing financial research efficiency, but also serves as a cautionary tale, illustrating how it can be abused to industrialize hypothesizing after results are known (HARKing). (JEL C12, C45, G12, G17)

Novy-Marx - Artificial Intelligence–Powered (Finance) Scholarship.pdf

2. W. E. B. Du Bois and Economics: A Reappraisal

Authors: Guy Numa, Sammy Zahran

DOI: [10.1257/jel.20251789](https://doi.org/10.1257/jel.20251789)

Online: 2026-02-26

Fields & Theories:

- **Fields:** Economic History, History of Economic Thought, Stratification Economics
- **Theories:** German Historical School, Institutional Economics, Empirical Analysis

Abstract:

W. E. B. Du Bois is widely considered one of the most prominent American intellectuals of the twentieth century. While Du Bois has been praised for his contributions to sister disciplines, his contributions to economics have been underappreciated. Drawing upon published and unpublished sources documenting his academic training, his involvement in the economics profession, and his overall scholarship, this article shows that Du Bois made enduring contributions to economic science. We trace his intellectual formation as a student of the German Historical School of economics, analyzing his pioneering use of empirical methods to document the plight of Black Americans. Du Bois emphasized the role of power and institutions in structuring distributional outcomes and the importance of economic and social uplift. One implication is that by conducting intra- and intergroup analyses of racial, health, occupational, income, and wealth disparities, Du Bois anticipated the empirical and theoretical aims of stratification economics. (JEL B13, B25, B31, B55, I00, J15, Z13)

3. Innovation-Driven Entrepreneurship

Authors: Tristan L. Botelho, Daniel C. Fehder, Yael V. Hochberg

DOI: [10.1257/jel.20251484](https://doi.org/10.1257/jel.20251484)

Online: 2026-02-26

Fields & Theories:

- **Fields:** Industrial Organization, Entrepreneurship, Economics of Innovation, Corporate Finance
- **Theories:** Innovation-Driven Entrepreneurship, Firm Dynamics, Venture Capital

Abstract:

Innovation-driven entrepreneurship (IDE) is viewed as a key driver of economic growth. This review provides a structured guide to the key themes of the growing literature on the economics of IDE, which differs substantially in its nature from other types of entrepreneurship. We describe the key themes of the growing literature, speaking to the central economic questions raised by IDE, including who enters into IDE activity, the nature of its founding teams and organization, its financing, the strategic choices faced by IDE founders, and policy and programs to support IDE activity. The tendency of much of the empirical economics literature to date to confound IDE with other types of entrepreneurial ventures offers a significant opportunity for research focused specifically on the IDE phenomenon. (JEL G24, G32, J23, J24, L26, M13, O31)

Botelho - Innovation-Driven Entrepreneurship.pdf

4. Doctor Decision-Making and Patient Outcomes

Authors: Janet Currie, W. Bentley MacLeod, Kate Musen

DOI: [10.1257/jel.20251762](https://doi.org/10.1257/jel.20251762)

Online: 2026-02-26

Fields & Theories:

- **Fields:** Health Economics, Behavioral Economics, Labor Economics
- **Theories:** Agency Theory, Information Asymmetry, Decision Theory, Incentive Theory

Abstract:

Doctors often treat similar patients differently, which affects health outcomes and medical spending. We assess the recent literature on doctor decision-making through the lens of a model that incorporates diagnostic and procedural skills, beliefs, incentives, and differences in patient pools. Decision-making is affected by beliefs, training, experience, peer effects, financial incentives, and time constraints. Interventions to improve decision-making include providing information, guidelines, and technologies like electronic medical records and algorithmic decision tools. Economists have made progress in understanding doctor decision-making, but applications of that knowledge to improving health care are still limited. (JEL D83, D91, G51, I11, I14, J24, J44)

Currie - Doctor Decision-Making and Patient Outcomes.pdf

5. The Economic Impacts of Artificial Intelligence: A Multidisciplinary, Multi-book Review

Authors: Kevin A. Bryan

DOI: [10.1257/jel.20251799](https://doi.org/10.1257/jel.20251799)

Online: 2026-02-26

Fields & Theories:

- **Fields:** Economics of AI, Labor Economics, Macroeconomics, Economics of Innovation
- **Theories:** Production Function, Technological Change, Prediction Policy Framework

Abstract:

This essay reviews seven books from the past dozen years by social scientists examining the economic impact of artificial intelligence (AI). These works offer valuable insights—AI as cheap prediction, architectural barriers to adoption, data as an economic asset, implementation challenges. However, they offer little guidance when it comes to the transformative scenarios considered plausible by many AI researchers. Economists have made great progress in explaining how to use AI within existing production functions, who benefits, and why; what remains needed is rigorous advice to policymakers concerned about rapid increases in labor churn, scientific development, labor–capital shifts, or existential risk. (JEL C45, C80, D83, O31, O36)

Bryan - The Economic Impacts of Artificial Intelligence A Multidisciplinary, Multi-book.pdf

6. No Taxation without Administration: Bringing the State Back into the Public Finance of Developing Countries

Authors: Anders D. Jensen, Jonathan L. Weigel

DOI: [10.1257/jel.20251760](https://doi.org/10.1257/jel.20251760)

Online: 2026-02-26

Fields & Theories:

- **Fields:** Public Economics, Development Economics, Taxation, Political Economy
- **Theories:** State Capacity, Tax Administration, Organizational Economics

Abstract:

The empirical economics literature on taxation in developing countries has centered on the importance of third-party information for enforcement. Yet, while surely a long-run objective, leveraging such information remains out of reach in many developing countries due to largely informal economies and low state capacity. This article examines an emerging complementary literature focused on strengthening the “sinews” of state capacity: tax administration. We argue that reforms to the organizational structure, personnel management, and task management of tax authorities have potential to raise tax capacity in developing countries. We also argue that efforts to improve the state’s legitimacy—popular acceptance of its right to tax—can increase capacity and may complement investments in tax administration. Our approach bridges a long-standing divide between how scholars in public finance and political economy approach tax capacity building in developing countries. (JEL D63, D73, H20, H50, K34, M50, O17)

Jensen - No Taxation without Administration Bringing the State Back into the Public Finan.pdf

7. How Do Central Banks Control Inflation? A Guide for the Perplexed

Authors: Laura Castillo-Martinez, Ricardo Reis

DOI: [10.1257/jel.20251429](https://doi.org/10.1257/jel.20251429)

Online: 2026-02-26

Fields & Theories:

- **Fields:** Macroeconomics, Monetary Policy, Financial Intermediation
- **Theories:** Monetary Theory, Fiscal Theory of the Price Level, Interest Rate Setting

Abstract:

Central banks have a primary goal of price stability. They pursue it using tools that include the interest they pay on reserves, the size and the composition of their balance sheet, and the dividends they distribute to the fiscal authority. We describe the economic theories that justify the central bank’s ability to control inflation and discuss their relative effectiveness in light of the historical record. We present alternative approaches as consistent with each other, as opposed to conflicting ideological camps. While interest-rate setting may often be superior, having both a monetarist pillar and fiscal support is essential, and at times pegging the exchange rate or monetizing the debt is inevitable. (JEL E31, E43, E52, E58, E62, F31, G21)

8. When Democracy Falters: A Multidisciplinary, Multi-book Review Essay on Polarization, Populism, and Authoritarianism

Authors: Betsey Stevenson

DOI: [10.1257/jel.20251778](https://doi.org/10.1257/jel.20251778)

Online: 2026-05-29

Fields & Theories:

- **Fields:** Political Economy, Behavioral Economics, Public Economics
- **Theories:** Institutional Economics, Social Identity Theory, Behavioral Bias

Abstract:

This multi-book review argues that identity-driven polarization interacts with institutional design to erode democratic guardrails. Reading Heather Cox Richardson's *Democracy Awakening*, Tom Schaller, and Paul Waldman's *White Rural Rage*, and Ezra Klein's *Why We're Polarized* through an economist's lens, I emphasize two claims. First, when institutions fail to deliver broadly shared security and dignity, anti-pluralist projects gain legitimacy and room to maneuver. Second, questions of belonging, citizenship, and the obligations of government to the people are informed by culture and institutional trust. The culture of the United States is not one that lends itself readily to ethno-nationalism, but these books make a case for an America that is, and perhaps has always, been divided by notions of who "we" are. I situate the books within the economics literature on populism, polarization, and institutions, and examine what we can learn about rebuilding both prosperity and democratic resilience in the United States. (JEL D02, D72, D91, J11, J15, Z13)

Stevenson - When Democracy Falters A Multidisciplinary, Multi-book Review Essay on Polarizat.pdf

9. The Theory of Financial Stability Meets Reality: A Unifying Framework for Bank Regulation and Accounting Discretion

Authors: Nina Boyarchenko, Kinda Hachem, Anya Kleymenova

DOI: [10.1257/jel.20251757](https://doi.org/10.1257/jel.20251757)

Online: 2026-05-29

Fields & Theories:

- **Fields:** Financial Intermediation, Banking, Corporate Finance
- **Theories:** Information Asymmetry, Moral Hazard, Externalities, Agency Theory

Abstract:

A large literature at the intersection of economics and finance offers prescriptions for regulating banks to increase financial stability. This literature abstracts from the discretion that accounting standards give banks over financial reporting, creating a gap between the information assumed to be available to regulators in models of optimal regulation and the information available to regulators in reality. We bridge insights from the economics, finance, and accounting literatures to synthesize knowledge about the design and implementation of bank regulation and identify areas where more work is needed. We present a simple framework for organizing the relevant ideas, namely the externalities that motivate bank regulation, the rationales for allowing accounting discretion, and the use of discretion to circumvent regulation. Our takeaway from reviewing work in these areas is that academic studies of bank regulation and accounting discretion require a more unified approach to design optimal policy for the real world. (JEL D62, D82, E44, G21, G28, G38, M41)

Boyarchenko - The Theory of Financial Stability Meets Reality A Unifying Framework for Bank Re.pdf

10. Workforce Development in the United States: Recent Trends and Evidence

Authors: Harry J. Holzer

DOI: [10.1257/jel.20251771](https://doi.org/10.1257/jel.20251771)

Online: 2026-05-29

Fields & Theories:

- **Fields:** Labor Economics, Public Economics
- **Theories:** Human Capital Theory, Search and Matching, Program Evaluation

Abstract:

In this paper, I examine what we know and don't know about both private and public workforce development in the United States. I highlight three of the most important categories of programs and policy: (i) workforce development in accredited higher education institutions, particularly community colleges; (ii) other publicly funded or private training and services, including "sectoral training" that targets specific high-demand sectors of the economy; and (iii) on-the-job or work-based learning, including apprenticeships. I summarize the theoretical literature on workforce development and a broad landscape of the three key categories. I synthesize the empirical literature on workforce development, beginning with comparisons of different data sources, outcome measures, and empirical methods used before reviewing the literature on estimated impacts in each of the three categories. I then consider the international evidence on workforce development and how public efforts differ between the United States and other industrial countries before concluding. (JEL I23, I26, J24, J31, M53)

Holzer - Workforce Development in the United States Recent Trends and Evidence.pdf

11. Women's Power in the Household

Authors: Seema Jayachandran, Alessandra Voena

DOI: [10.1257/jel.20261779](https://doi.org/10.1257/jel.20261779)

Online: 2026-05-29

Fields & Theories:

- **Fields:** Development Economics, Labor Economics, Household Finance
- **Theories:** Bargaining Theory, Collective Model, Structural Estimation, Unitary Model

Abstract:

We examine women's household power in low- and middle-income countries (LMICs), synthesizing theoretical frameworks and empirical evidence on its measurement, determinants, and consequences. We define women's household power as their influence over household choices, distinguishing it from broader empowerment concepts. We review economic models, including unitary, collective, and bargaining frameworks, and map these to empirical approaches. We then discuss measurement methods, such as structural estimation of consumption allocation, survey measures, and laboratory experiments. On the determinants of women's power, we find that some approaches, such as transfers targeted to women, show mixed results, while others, such as increasing women's control over their earnings, show clearer positive impacts. On the effects of women's power, we pay special attention to children's human capital. Few studies provide strong evidence that mothers invest more in children than fathers do, but collectively the evidence suggests such an effect. We conclude by highlighting research and methodological gaps. (JEL C78, D13, I38, J13, J16, J31, O12)

Jayachandran - Women's Power in the Household.pdf

12. Human Capital and Racial Inequality in the US Labor Market

Authors: Owen Thompson

DOI: [10.1257/jel.20251759](https://doi.org/10.1257/jel.20251759)

Online: 2026-05-29

Fields & Theories:

- **Fields:** Labor Economics, Inequality, Human Capital
- **Theories:** Human Capital Theory, Discrimination Theory, Decomposition Methods

Abstract:

If racial gaps in measures of human capital like educational attainment and standardized test scores were eliminated, what would happen to racial disparities in wages, employment, and other labor market outcomes? A credible answer to this question is foundational for understanding the nature and scope of racial inequality and discrimination in the United States. This article reviews and synthesizes a literature that studies this question by estimating the extent to which controlling for measures of human capital changes Black–White gaps in labor market outcomes, and discusses various conceptual and methodological issues related to interpreting this type of exercise. I show that while accurately interpreting this exercise and its many variants requires careful thinking, the results elucidate many important and subtle aspects of racial inequality in the United States. (JEL I26, J15, J24, J31, J71)

Thompson - Human Capital and Racial Inequality in the US Labor Market.pdf

13. Intimate Partner Violence in Low- and Middle-Income Countries: Insights from Economic Research

Authors: Manisha Shah, Lydia Barski

DOI: [10.1257/jel.20251769](https://doi.org/10.1257/jel.20251769)

Online: 2026-05-29

Fields & Theories:

- **Fields:** Development Economics, Gender Economics, Health Economics
- **Theories:** Household Bargaining Models, Game Theory, Causal Inference

Abstract:

Intimate partner violence (IPV) is a pervasive global issue, with approximately one in three women experiencing IPV during her lifetime. IPV prevalence is higher in low- and middle-income countries (LMICs), and costs of IPV are also considerably larger as a percentage of GDP in LMICs. We present the economic theory behind IPV and highlight some important determinants, such as poverty and societal norms. We then synthesize the causal evidence on the impact of a range of policies and interventions, highlighting approaches that have been effective in reducing IPV. We identify key insights from the existing literature and outline areas where further theoretical and empirical research is needed. (JEL I32, J12, J16, K42, O15, O17, Z13)

Shah - Intimate Partner Violence in Low- and Middle-Income Countries Insights from Econ.pdf

14. Difference-in-Differences Designs: A Practitioner's Guide

Authors: Andrew Baker, Brantly Callaway, Scott Cunningham, Andrew Goodman-Bacon, Pedro H. C. Sant' Anna

DOI: [10.1257/jel.20251650](https://doi.org/10.1257/jel.20251650)

Online: 2026-05-29

Fields & Theories:

- **Fields:** Econometrics, Applied Microeconomics
- **Theories:** Difference-in-Differences, Quasi-experimental Design, Potential Outcomes Framework, Staggered Treatment

Abstract:

Difference-in-differences (DiD) is arguably the most popular quasi-experimental research design. Its canonical form, with two groups and two periods, is well understood. However, empirical practices can be ad hoc

when researchers go beyond that simple case. This article provides an organizing framework for discussing different types of DiD designs and their associated DiD estimators. It discusses covariates, weights, handling multiple periods, and staggered treatments. The organizational framework, however, applies to other extensions of DiD methods as well. (JEL C23, H75, I12, I38)

Baker - Difference-in-Differences Designs A Practitioner's Guide.pdf

Annual Review of Economics

1. Dynamic Contracting

Authors: Alessandro Pavan

DOI: [10.1146/annurev-economics-080525-114300](https://doi.org/10.1146/annurev-economics-080525-114300)

Online: 2026-03-04

Fields & Theories:

- **Fields:** Microeconomic Theory, Industrial Organization
- **Theories:** Dynamic Mechanism Design, Contract Theory, Information Asymmetry

Abstract:

Dynamic contracting plays a central role in many environments—for instance, in the sale of goods and services to consumers whose preferences evolve through learning, experimentation, or habit formation; in the taxation of workers whose productivity changes with learning-by-doing; in the provision of services on platforms with stochastic entry and exit of buyers and sellers; and in the matching of agents whose values and attractiveness are gradually revealed through past interactions. This article surveys several strands of the recent dynamic mechanism design literature, distills a few lessons, and points to promising directions for future research.

Pavan - Dynamic Contracting.pdf

2. The Economics of Professional Decision-Making: Can Artificial Intelligence Reduce Decision Uncertainty?

Authors: W. Bentley MacLeod

DOI: [10.1146/annurev-economics-051624-071111](https://doi.org/10.1146/annurev-economics-051624-071111)

Online: 2026-03-05

Fields & Theories:

- **Fields:** Health Economics, Economics of AI, Behavioral Economics
- **Theories:** Knightian Uncertainty, Dual Process Theory, Rational Choice

Abstract:

This article outlines an economic model that provides a framework for organizing the growing literature on the performance of physicians and judges. The primary task of these professionals is to make decisions based on the information provided by their clients. The article discusses professional decisions in terms of what Kahneman (2011) calls fast and slow decisions, known as System 1 and System 2 in cognitive science. Slow decisions correspond to the economist's model of rational choice, while System 1 (fast) decisions are high-speed, intuitive choices guided by training and human capital. This distinction is used to provide a model of decision-making under uncertainty based on Bewley's (2011) theory of Knightian uncertainty to show that human values are an essential input to optimal choice. This, in turn, provides conditions under which artificial intelligence (AI) tools can assist professional decision-making, while pointing to cases in which such tools need to explicitly incorporate human values in order to make better decisions.

MacLeod - The Economics of Professional Decision-Making Can Artificial Intelligence Reduce.pdf

3. The Governance Triangle: Economic Interactions in Civil Society, the State, and the Market

Authors: Samuel Bowles, Wendy Carlin

DOI: [10.1146/annurev-economics-081424-080722](https://doi.org/10.1146/annurev-economics-081424-080722)

Online: 2026-03-12

Fields & Theories:

- **Fields:** Political Economy, Institutional Economics, Behavioral Economics
- **Theories:** Principal-Agent Model, Social Norms, Identity Economics

Abstract:

Interactions in civil society are personal and enduring, and as a result, identity and other-regarding preferences are important motivations. Here we add civil society to markets and states as a third form of governance of the economy, creating the governance triangle. We provide evidence that themes related to civil society have assumed substantially greater importance in economic research since the 1970s. A now-standard principal-agent model of employment in private firms reveals three characteristics of interactions in civil society: the importance of face-to-face interactions, social norms, and the private exercise of power. We show that market failures and other coordination problems can sometimes be more successfully addressed by civil society than by state or market governance. Civil society may have a comparative institutional advantage where conflicts of interest are modest and information available to state and market actors is limited. When based on us-versus-them forms of identity, however, civil society governance may promote preferences antithetical to a liberal and democratic society.

Bowles - The Governance Triangle Economic Interactions in Civil Society, the State, and t.pdf

4. Masculinity Norms and Their Economic Implications

Authors: Ieda Matavelli, Pauline Grosjean, Ralph De Haas, Victoria Baranov

DOI: [10.1146/annurev-economics-051624-065932](https://doi.org/10.1146/annurev-economics-051624-065932)

Online: 2026-03-13

Fields & Theories:

- **Fields:** Labor Economics, Behavioral Economics, Gender Economics, Political Economy
- **Theories:** Social Norms, Identity Economics, Gender Gaps, Survey Analysis

Abstract:

While economists have extensively studied gender norms affecting women, masculinity norms—social norms about how men should behave—remain underexplored. This review first synthesizes how other disciplines have studied masculinity, providing economists with conceptual foundations and empirical patterns for understanding masculinity norms. We then discuss how the study of masculinity norms can inform the economics literature on gender gaps and men's outcomes across multiple domains: health behavior, labor supply and occupational choice, violence and aggression, and political preferences. We also discuss paths for the transmission and persistence of these norms. Finally, using novel survey data from 70 countries, we present five stylized facts about masculinity norms. Adherence to masculinity norms varies substantially across countries and predicts a range of socioeconomic and political outcomes.

Matavelli - Masculinity Norms and Their Economic Implications.pdf

5. Transfers of Technology and Management Practices: Evidence from the Twentieth Century

Authors: Michela Giorcelli

DOI: [10.1146/annurev-economics-051624-055215](https://doi.org/10.1146/annurev-economics-051624-055215)

Online: 2026-03-13

Status: Review in Advance

Fields & Theories:

- **Fields:** Development Economics, Economic History, Industrial Organization, International Trade
- **Theories:** Absorptive Capacity, Technology Diffusion, Human Capital, Industrial Policy

Abstract:

I discuss recent works that evaluate the effects of technology and knowledge transfers in the twentieth century. Less developed economies cyclically rely on such transfers to promote industrialization and close the gap with the most advanced countries. I focus on embodied technology transfers through capital goods; disembodied transfers via patents, licensing, and worker mobility; the diffusion of managerial know-how; and industrial policy interventions. The analysis highlights the central role of absorptive capacity—human capital, institutional quality, and organizational capability—in determining whether transfers yield lasting productivity gains.

Giorcelli - Transfers of Technology and Management Practices Evidence from the Twentieth Cen.pdf

6. Evidence in Games and Mechanisms

Authors: Elchanan Ben-Porath, Eddie Dekel, Barton L. Lipman

DOI: [10.1146/annurev-economics-051624-060215](https://doi.org/10.1146/annurev-economics-051624-060215)

Online: 2026-03-13

Fields & Theories:

- **Fields:** Microeconomic Theory, Game Theory, Mechanism Design
- **Theories:** Information Asymmetry, Strategic Communication, Hard Evidence, Incentive Compatibility

Abstract:

We survey theoretical work on the use of evidence, including work in game theory and in mechanism design. 81 Downloaded from www.annualreviews.org. Guest (guest) IP: 58.182.41.161 On: Sat, 08 Aug 2026 11:51:19

Ben-Porath - Evidence in Games and Mechanisms.pdf

7. Natural Language Processing and Innovation Research

Authors: Antonin Bergeaud, Adam Jaffe, Dimitris Papanikolaou

DOI: [10.1146/annurev-economics-072225-113623](https://doi.org/10.1146/annurev-economics-072225-113623)

Online: 2026-03-13

Fields & Theories:

- **Fields:** Economics of Innovation, Econometrics, Industrial Organization, Finance
- **Theories:** Natural Language Processing, Textual Analysis, Machine Learning, Measurement of Intangibles

Abstract:

Innovation is central to models in economics, strategy, management, and finance, yet it remains difficult to measure due to its intangible and knowledge-based nature. Recent advancements in natural language processing offer new methods to analyze textual artifacts, providing empirical insights into previously hard-to-measure aspects of innovation. This article provides an overview of the current applications of these methods in empirical innovation research, highlights their transformative potential for reshaping how researchers study and quantify innovation, and discusses the critical challenges that accompany their use.

Bergeaud - Natural Language Processing and Innovation Research.pdf

8. The Neuroeconomics of Simple and Complex Choice

Authors: Peter Bossaerts, Wolfram Schultz
DOI: [10.1146/annurev-economics-051624-062344](https://doi.org/10.1146/annurev-economics-051624-062344)
Online: 2026-03-13

Fields & Theories:

- **Fields:** Behavioral Economics, Neuroeconomics, Decision Theory
- **Theories:** Reinforcement Learning, Reward Prediction Error, Value-Based Decision Making, Biological Models of Choice

Abstract:

Neuroeconomics investigates how the brain makes decisions. The field integrates insights from neuroscience, psychology, economics, and computer science. In simple choices, such as selecting between an apple and a pear, the brain computes and compares value signals for each option. After each choice, the value signals are updated according to the experienced outcome by reinforcement learning. The brain structures involved in choices include different areas of the frontal and parietal cortex, striatum, and amygdala, whereas the value updating involves the reward prediction error signal of dopamine neurons. Complex choices involve interaction among choice options and engage additional neural circuits and computations. While some mechanisms from simple choice are preserved, complex decisions require higher-order processing in the prefrontal cortex. Thus, neuroeconomics aims to build a unified, biologically grounded model of both simple and complex decision-making.

Bossaerts - The Neuroeconomics of Simple and Complex Choice.pdf

9. Religion in Emerging and Developing Regions

Authors: Sara Lowes, Benjamin Marx, Eduardo Montero
DOI: [10.1146/annurev-economics-051624-065145](https://doi.org/10.1146/annurev-economics-051624-065145)
Online: 2026-03-16

Fields & Theories:

- **Fields:** Development Economics, Political Economy, Cultural Economics
- **Theories:** Religious Market Theory, Institutional Economics, Public Goods Provision

Abstract:

This article examines the evolving relationship between religion and economic development in emerging and developing countries (EDCs). Building on large-scale survey data and recent scholarship, we document persistent and, in many regions, increasing levels of religiosity. First, we present global trends in religious beliefs and practices, highlighting a religious divergence between EDCs and high-income countries, as well as the continued prevalence of traditional belief systems alongside major world religions. Second, we analyze the determinants and consequences of religious behavior, showing how income volatility, financial insecurity, and cultural transitions sustain demand for religion. Third, we explore the institutional and political dimensions of religion in EDCs, emphasizing the role of religious institutions as public goods providers and as politically influential actors. This discussion offers a framework for understanding religious organizations as adaptive, competing platforms in pluralistic religious marketplaces. Overall, our findings suggest that religious adaptation, rather than decline, is central to understanding the future of religion and its economic implications in the developing world.

Lowes - Religion in Emerging and Developing Regions.pdf

10. The Global Economic Impact of Climate Change: An Empirical Perspective

Authors: Solomon Hsiang
DOI: [10.1146/annurev-economics-102224-021145](https://doi.org/10.1146/annurev-economics-102224-021145)
Online: 2026-03-30

Fields & Theories:

- **Fields:** Environmental Economics, Development Economics, Health Economics
- **Theories:** Empirical Identification, Causal Inference, Natural Experiments

Abstract:

Empirical research has revolutionized how we understand the global economic impacts of climate change. Recent empirical analyses have tested theoretical ideas, challenged prior estimates, and revealed important and unexpected impacts. Further, the credibility and replicability of empirical results have played a critical role in guiding high-stakes climate policies. Here, I describe the landscape of empirical economic research on global impacts, I explain elements of modern analyses, I summarize recent findings on a range of topics, and I point toward promising new areas of investigation. In particular, I focus on empirical perspectives for six grand challenges in the field: understanding climate change's global impact on economic output, health, conflict, food security, disasters, and migration. Overall, I argue that interwoven empirical findings across outcomes are aligning to paint an increasingly coherent picture of a future global economy impacted by climate change. Taking the literature as a whole, the global consequences of unmitigated climate change are likely to be substantial, unequal, harmful in aggregate, and potentially destabilizing.

Hsiang - The Global Economic Impact of Climate Change An Empirical Perspective.pdf

11. Large Language Models: An Applied Econometric Framework

Authors: Jens Ludwig, Sendhil Mullainathan, Ashesh Rambachan

DOI: [10.1146/annurev-economics-120925-105620](https://doi.org/10.1146/annurev-economics-120925-105620)

Online: 2026-04-06

Fields & Theories:

- **Fields:** Econometrics, Economics of AI
- **Theories:** Machine Learning, Causal Inference, Validation Sampling, Prediction and Estimation

Abstract:

Large language models (LLMs) enable researchers to analyze text at unprecedented scale and minimal cost. Researchers can now revisit old questions and tackle novel ones with rich data. We provide an econometric framework for realizing this potential in two empirical uses. For prediction problems—forecasting outcomes from text—valid conclusions require “no training leakage” between the LLM’s training data and the researcher’s sample, which can be enforced through careful model choice and research design. For estimation problems—automating the measurement of economic concepts for downstream analysis—valid downstream inference requires combining LLM outputs with a small validation sample to deliver consistent and precise estimates. Absent a validation sample, researchers cannot assess possible errors in LLM outputs, and consequently seemingly innocuous choices (which model, which prompt) can produce dramatically different parameter estimates. When used appropriately, LLMs are powerful tools that can expand the frontier of empirical economics.

Ludwig - Large Language Models An Applied Econometric Framework.pdf

12. International Migration and Economic Development

Authors: Dean Yang

DOI: [10.1146/annurev-economics-081525-021320](https://doi.org/10.1146/annurev-economics-081525-021320)

Online: 2026-04-16

Fields & Theories:

- **Fields:** Labor Economics, Development Economics, International Trade
- **Theories:** Human Capital Theory, Brain Gain, Causal Identification

Abstract:

International labor migration from developing to developed countries generates income gains for migrants

that dwarf those from any known development intervention, with workers routinely experiencing 4–5-fold wage increases upon migration. These individual gains translate into massive remittance flows to developing countries that far exceed foreign aid flows. This review synthesizes the rapidly growing literature on migration's impacts on origin countries, emphasizing studies with credible causal identification. The evidence progresses from individual and household effects, where migrants and their families experience substantial gains in income, education investments, and consumption smoothing, to broader impacts on the origin area, including regional economic development and widespread human capital formation. Contrary to concerns about so-called brain drain, recent research reveals brain gain effects whereby migration opportunities increase educational investments and skill formation. Migration also has additional positive effects through trade and investment linkages, knowledge transfers, and changing social norms. This review also discusses policies for enhancing migration's development impacts and key areas for future research.

Yang - International Migration and Economic Development.pdf

13. The Economic Impacts of Gender-Based Violence and Harassment

Authors: Abi Adams, Emily Nix

DOI: [10.1146/annurev-economics-051624-062754](https://doi.org/10.1146/annurev-economics-051624-062754)

Online: 2026-04-30

Fields & Theories:

- **Fields:** Labor Economics, Public Economics, Health Economics
- **Theories:** Human Capital, Social Norms, Deterrence Theory

Abstract:

Gender-based violence (GBV) and harassment remain widespread, with far-reaching consequences. This review synthesizes the emerging economics literature on GBV, highlighting its methodological challenges, economic impacts, and policy responses. We first examine the difficulties of measuring GBV, including under-reporting, definitional variation, and the limits of administrative versus survey data. We then survey evidence on the economic costs of GBV, which span reduced employment, earnings, and educational attainment for survivors as well as broader harms to families, peers, firms, and societies. Finally, we review evidence on prevention and mitigation strategies, including deterrence through sanctions, shifts in workplace and social norms, and survivor support programs. The literature shows that the economic costs of GBV are large, persistent, and measurable, underscoring the urgency of rigorous policy interventions and continued research.

Adams - The Economic Impacts of Gender-Based Violence and Harassment.pdf

14. Firm Size and Dynamics in Less Developed Economies

Authors: Marcela Eslava

DOI: [10.1146/annurev-economics-081525-072902](https://doi.org/10.1146/annurev-economics-081525-072902)

Online: 2026-04-30

Fields & Theories:

- **Fields:** Development Economics, Macroeconomics, Firm Dynamics
- **Theories:** Lucas-Hopenhayn Framework, Resource Misallocation, General Equilibrium

Abstract:

A growing body of evidence shows that businesses in developing economies are systematically smaller, grow more slowly, and exhibit lower turnover than those in advanced economies. These patterns are driven in part by nonemployer and micro businesses, which absorb the bulk of workers in low-income settings. This article reviews macro development research that extends the standard Lucas–Hopenhayn framework to account for the smaller size and more limited dynamism of businesses in poorer economies. Distortions that disproportionately affect high-productivity firms, together with lagging technologies, emerge as central explanatory forces, though they often fall short of replicating the empirical size-to-GDP elasticity. Incorporating nonemployers appears to improve the model's ability to match several dimensions of the data. Identifying actionable sources of distortions and technology gaps and combining firm-level data with individual-level sources are

highlighted as additional promising avenues to improve the profession's understanding of sources of the development problem.

Eslava - Firm Size and Dynamics in Less Developed Economies.pdf

15. Market Power in Artificial Intelligence

Authors: Joshua S. Gans

DOI: [10.1146/annurev-economics-051624-061832](https://doi.org/10.1146/annurev-economics-051624-061832)

Online: 2026-05-06

Fields & Theories:

- **Fields:** Industrial Organization, Economics of AI
- **Theories:** Market Power, Network Effects, Information Asymmetry, Platform Design

Abstract:

This article surveys the relevant existing literature that can help researchers and policymakers understand the drivers of competition in markets that provide artificial intelligence (AI) products. The focus is on three broad markets: training data, input data, and AI predictions. A recurring theme is that the mobility of data across firm boundaries, including the operation of data markets, is central to the emergence and persistence of market power, but its force depends on interacting bottlenecks such as compute, attention scarcity, platform design, and model openness.

Gans - Market Power in Artificial Intelligence.pdf

16. Learning in a Correlated World

Authors: Arjada Bardhi, Steven Callander

DOI: [10.1146/annurev-economics-051624-072515](https://doi.org/10.1146/annurev-economics-051624-072515)

Online: 2026-05-06

Fields & Theories:

- **Fields:** Microeconomic Theory, Behavioral Economics
- **Theories:** Correlated Learning, Stochastic Processes, Search and Experimentation, Bayesian Updating

Abstract:

We survey a growing literature on correlated learning—that is, how information from one choice changes beliefs about others when outcomes are correlated. The core modeling innovation is to represent the unknown mapping from choices to outcomes as the realized path of a stochastic process, most commonly the Brownian motion. We show how the framework has been applied to four canonical economic problems in which correlated learning is key but understudied: (a) search and experimentation, (b) communication, (c) innovation and market competition, and (d) attribute problems. We review emerging empirical and experimental evidence on correlated learning and outline new theoretical and methodological directions.

Bardhi - Learning in a Correlated World.pdf

17. Africa as a Success Story: Political Organization in Precolonial Africa

Authors: Soeren J. Henn, James A. Robinson

DOI: [10.1146/annurev-economics-051624-070224](https://doi.org/10.1146/annurev-economics-051624-070224)

Online: 2026-05-06

Fields & Theories:

- **Fields:** Economic History, Political Economy, Development Economics

- **Theories:** State Formation, Institutional Equilibrium, Political Decentralization, Collective Action

Abstract:

We provide an overview of the explanations for the relative lack of state formation historically in Africa. In doing so, we systematically document for the first time the extent to which Africa was politically decentralized, calculating that in 1880 there were probably 45,000 independent polities that were rarely organized on ethnic lines. At most 2% of these could be classified as states. We advance a new argument for this extreme political decentralization positing that African societies were deliberately organized to prevent centralization from emerging. In this they were successful. We point out some key aspects of African societies that helped them to manage this equilibrium. We also emphasize how the organization of the economy was subservient to these political goals.

Henn - Africa as a Success Story Political Organization in Precolonial Africa.pdf

18. Why Did Inflation Rise and Fall in 2021–2024? Channels and Evidence from Expectations

Authors: Ricardo Reis

DOI: [10.1146/annurev-economics-051624-072332](https://doi.org/10.1146/annurev-economics-051624-072332)

Online: 2026-05-06

Fields & Theories:

- **Fields:** Macroeconomics, Monetary Policy
- **Theories:** Rational Expectations, Inflation Expectations, Supply and Demand Shocks

Abstract:

This article uses inflation expectations to investigate the mechanisms that linked supply and demand shocks to inflation outcomes during 2021–2024. It describes several theoretical mechanisms through which shocks led to inflation, highlighting the role of expectations in this process. It uses multiple sources of expectations data for the United States, Euro area, and United Kingdom to evaluate each of these channels. Finally, it surveys the literature that has used expectations data to make sense of the 2021–2024 inflation surge. The article applies the results from this investigation to assess how well-anchored inflation expectations were during the surge and at the end of it.

Reis - Why Did Inflation Rise and Fall in 2021–2024 Channels and Evidence from Expectat.pdf

19. Uneven Modernization in the Muslim World

Authors: Timur Kuran, Fasih Zulfiqar

DOI: [10.1146/annurev-economics-051624-064953](https://doi.org/10.1146/annurev-economics-051624-064953)

Online: 2026-05-15

Fields & Theories:

- **Fields:** Development Economics, Economic History, Political Economy
- **Theories:** Institutional Economics, Modernization Theory, Path Dependence

Abstract:

Modernization is a multidimensional process that enhances human welfare. The relative modernity levels of geographic units can be inferred from global migration patterns, which favor destinations offering opportunities deemed superior. On this basis, we introduce a migration-based modernity index and show that the Muslim World currently lags behind major recipient countries. The gap does not indicate stagnation. The Muslim World has been modernizing, though unevenly across time, regions, and sectors. Although existing research documents these variations, systematic analyses of differing paces and patterns of selective convergence remain scarce. This article fills that gap by distinguishing among continuous, punctuated, and latent modernization trajectories and organizing the literature around four leading explanations for persis-

tent developmental lags: collectivist attitudes, Islamic religious tenets, Islamic legal institutions, and colonial institutional legacies. The resulting framework highlights various sectoral contrasts, such as rapid progress in health and basic education alongside persistent deficits in political and religious liberties.

Kuran - Uneven Modernization in the Muslim World.pdf

20. What Makes New Work Different from More Work?

Authors: David Autor, Caroline Chin, Anna Salomons, Bryan Seegmiller

DOI: [10.1146/annurev-economics-092325-041649](https://doi.org/10.1146/annurev-economics-092325-041649)

Online: 2026-05-26

Fields & Theories:

- **Fields:** Labor Economics, Economics of AI, Firm Dynamics
- **Theories:** Human Capital Theory, Skill-Biased Technological Change, Automation and Displacement

Abstract:

We study the role of expertise in new work—novel occupational roles that emerge as technological and economic conditions evolve—using newly available 1940 and 1950 Census Complete Count files and confidential American Community Survey data from 2011 to 2023. We show that new work is systematically distinct from simply more work in existing occupations in four respects. First, it attracts workers with distinct characteristics: New work is disproportionately performed by younger and more educated workers, even within detailed occupation-industry cells. Second, new work commands economically significant wage premiums that persist beyond workers' initial entry into new work, consistent with returns to scarce, specialized expertise rather than temporary market disequilibrium. Third, these premiums decline across vintages as expertise diffuses, with “newer” new work commanding larger premiums than older new work. Fourth, the emergence of new work can be traced to specific demand shocks in particular locations and time periods, suggesting that expertise formation responds systematically to economic opportunities. These findings suggest that new work serves as a countervailing force to automation-driven job displacement not merely by creating additional employment but also by generating new domains of human expertise that command market premiums. This expertise-based mechanism helps explain both the expanding variety of work activities across decades and the historical resilience of the labor share.

Autor - What Makes New Work Different from More Work.pdf

21. The Economics of Religion: A Review

Authors: Paul Seabright

DOI: [10.1146/annurev-economics-051624-064410](https://doi.org/10.1146/annurev-economics-051624-064410)

Online: 2026-05-29

Fields & Theories:

- **Fields:** Behavioral Economics, Public Economics, Economics of Religion
- **Theories:** Club Good Model, Platform Economics, Social Capital

Abstract:

This article reviews economic research on religion undertaken in recent decades. Adam Smith wrote extensively on the behavior of religious organizations in *The Wealth of Nations*, but the subject was thereafter absent from economic research until the late twentieth century. Contemporary research now recognizes that religious people not only espouse doctrines and beliefs but also undertake important resource-consuming and resource-producing activities. I begin with a section on the nature of religious movements, outlining the canonical club good model of Laurence Iannaccone. I then draw on recent platform-economics models to reinterpret religious movements as platforms: organizations that facilitate and govern relationships—most notably communities—and appropriate a share of the value generated by these interactions. I address the demand for religion and the determinants and consequences of religious values and beliefs. Finally, I review research on the links between religion and politics.

22. Economic Growth Under Transformative AI

Authors: Philip Trammell, Anton Korinek

DOI: [10.1146/annurev-economics-051624-061002](https://doi.org/10.1146/annurev-economics-051624-061002)

Online: 2026-06-02

Fields & Theories:

- **Fields:** Macroeconomics, Economics of AI, Economic Growth
- **Theories:** Endogenous Growth Theory, Kaldor Facts, Automation Models, Production Functions

Abstract:

Recent advances in artificial intelligence may herald the near arrival of systems that can automate essentially all work. We review the macroeconomic implications of this scenario in a framework that synthesizes several strands of the relevant literature. Robustly, fully automating production alone (so that machines can self-replicate) would dramatically raise the growth rate and lower the labor share, breaking the Kaldor Facts that have long characterized frontier growth. Automating research and development (so that machines can self-improve) would accelerate the transformation but may not produce it in isolation. Wages—the product of exploding output and a plummeting labor share—may rise or fall, depending on the returns to scale, the importance of natural resources, tastes, and the direction of technical change.

Trammell - Economic Growth Under Transformative AI.pdf

23. Organ Allocation and Transplantation

Authors: Itai Ashlagi, Alvin E. Roth

DOI: [10.1146/annurev-economics-092425-123425](https://doi.org/10.1146/annurev-economics-092425-123425)

Online: 2026-06-08

Fields & Theories:

- **Fields:** Health Economics, Market Design, Public Economics
- **Theories:** Matching Theory, Resource Allocation, Institutional Economics

Abstract:

There is a large shortage of solid organs for transplants. This survey reviews the allocation of organs (particularly kidneys), with an emphasis on how deceased donor organs are obtained and allocated in the United States but with pointers to related issues involving living donors and transplantation around the world. We review some of the key institutional details and theoretical and empirical studies and describe some open questions that we hope will continue to attract attention from researchers interested in the economic and operational aspects of organ allocation.

Ashlagi - Organ Allocation and Transplantation.pdf

24. Credit and Exports: Lessons From Micro-Level Data

Authors: Banu Demir, Veronica Rappoport

DOI: [10.1146/annurev-economics-051624-055456](https://doi.org/10.1146/annurev-economics-051624-055456)

Online: 2026-06-09

Fields & Theories:

- **Fields:** International Trade, Financial Intermediation, Corporate Finance
- **Theories:** Financial Constraints, Information Asymmetry, Firm Dynamics

Abstract:

This article reviews recent evidence on how credit availability shapes exports. Advances in empirical strategies and the increasing availability of detailed firm- and transaction-level data shed light on mechanisms linking firms' financial conditions to their entry, survival, and growth in export markets. Emerging work on the interaction between bank and trade credit highlights additional channels affecting export contracts. We conclude by outlining open questions and directions for future research.

Demir - Credit and Exports Lessons From Micro-Level Data.pdf

25. What Every PhD Student Should Know About Adam Smith

Authors: Barry R. Weingast

DOI: [10.1146/annurev-economics-051624-073128](https://doi.org/10.1146/annurev-economics-051624-073128)

Online: 2026-08-07

Fields & Theories:

- **Fields:** Economic History, History of Economic Thought, Political Economy, Development Economics
- **Theories:** Classical Economics, Political Economy, Moral Philosophy

Abstract:

Widely known as the father of economics, Adam Smith lived in the eighteenth century. Smith was a polymath, and his magnum opus, *The Wealth of Nations*, is 250 years old this year. In this article, I suggest the nature of Smith's contribution to economics, moral philosophy, and political science. Scholars participating in these fields today tend to see them as separate domains of inquiry. Not so for Smith. I study three main aspects of Smith's political economics. First is his economics; second is his fresh understanding of the political and economic problems confronting the nations of Western Europe when they were developing; and finally (and more briefly) is his moral theory. As I show, the problems facing developing countries of early modern Europe were not unlike those problems facing today's developing countries. Smith approaches these problems from an integrated perspective.

Weingast - What Every PhD Student Should Know About Adam Smith.pdf

26. The Macroeconomics of Market Power

Authors: Jan De Loecker, Jan Eeckhout

DOI: [10.1146/annurev-economics-100825-105527](https://doi.org/10.1146/annurev-economics-100825-105527)

Online: 2026-08-07

Fields & Theories:

- **Fields:** Macroeconomics, Industrial Organization, Public Economics
- **Theories:** General Equilibrium, Market Power, Heterogeneous Agents, Firm Dynamics

Abstract:

This review surveys the literature on the macroeconomics of market power. Since 1980 various aggregate measures of market power, such as markups, profit rates, and market capitalization, have increased in the United States and around the globe. We find that the rise of markups is due in large part to the reallocation of market shares and to the rise of the inverse expenditure share on variable inputs, whereas output elasticities have not risen. We analyze the macroeconomic causes and consequences of this process and use a model to evaluate the potential mechanisms. Key is the underlying heterogeneity in the distribution of parameters, which passes through to heterogeneity in the distribution of outcomes such as output, the labor share, profits, and welfare. Focusing on aggregate measures of market power is misleading, as the same aggregate markups can be associated with different output and welfare. We conclude with a discussion of how competition policy can be a tool not only for restoring economic efficiency but also for redistribution, depending on how the markups and underlying parameters are distributed.

Loecker - The Macroeconomics of Market Power.pdf

27. Monetary Policy, Bank Fragility, and the Modern Financial Intermediation

Authors: Gregor Matvos, Tomasz Piskorski, Amit Seru

DOI: [10.1146/annurev-economics-051624-060715](https://doi.org/10.1146/annurev-economics-051624-060715)

Online: 2026-08-07

Fields & Theories:

- **Fields:** Macroeconomics, Financial Intermediation, Monetary Policy, Banking
- **Theories:** Monetary Policy Transmission, Maturity Transformation, Financial Stability, Liquidity Risk

Abstract:

This article reviews recent research on monetary policy transmission through banks and the broader financial intermediation sector, and its implications for financial stability. Traditional banks remain fragile due to high leverage and maturity transformation, making them vulnerable to interest rate, credit, and liquidity shocks. Meanwhile, the rise of nonbank intermediation—now involved in most lending—has reshaped how credit is originated, funded, and distributed, complicating policy transmission and regulation. We examine evidence on six key adjustment margins of monetary policy transmission through banks and the financial intermediation sector: (a) balance sheet valuation, (b) loan retention, (c) securities holdings, (d) shadow bank lending substitution, (e) deposit substitution, and (f) bank-to-nonbank lending. These channels often reallocate credit in response to monetary and capital shocks rather than just altering its aggregate level, highlighting the need for a system-wide perspective that reflects the adaptive, interconnected nature of modern financial intermediation.

Matvos - Monetary Policy, Bank Fragility, and the Modern Financial Intermediation.pdf

Annual Review of Financial Economics

1. Politics and Finance

Authors: Pat Akey, Nandini Gupta, Stefan Lewellen

DOI: [10.1146/annurev-financial-111424-122119](https://doi.org/10.1146/annurev-financial-111424-122119)

Online: 2026-05-13

Status: Review in Advance

Fields & Theories:

- **Fields:** Corporate Finance, Financial Intermediation, Political Economy, Asset Pricing
- **Theories:** Agency Theory, Information Asymmetry, Relational Contracts, Political Risk

Abstract:

Rising government intervention, corporate political spending, and geopolitical rifts underscore the importance of the link between politics and finance. This review describes how politics affects firms, banks, households, and markets. Companies form political ties through board connections, lobbying, revolving-door hires, and contributions. In return, they gain access to procurement contracts, cheaper debt, bailouts, policy information, and reduced enforcement. Political ties are generally associated with increased shareholder value but can also be costly during periods of political disruption. Political factors spill over to banking, where banks favor connected firms and secure regulatory forbearance; to households, whose partisan beliefs shape investments; to asset markets, which price political risk; and to global capital markets, where investment and banking flows respond to geopolitical risks. We conclude with open questions, including which types of money matter most in politics, how politics influences relational contracts, and how to integrate political economy factors into finance theory.

Akey - Politics and Finance.pdf

2. Collateral

Authors: Jason Roderick Donaldson, Giorgia Piacentino

DOI: [10.1146/annurev-financial-112923-114300](https://doi.org/10.1146/annurev-financial-112923-114300)

Online: 2026-05-29

Status: Review in Advance

Fields & Theories:

- **Fields:** Financial Intermediation, Corporate Finance, Banking
- **Theories:** Contract Theory, Property Rights, Agency Theory

Abstract:

What is collateral? What does it do? We set up a general model to illustrate the current thinking on these questions. The model captures classical ideas on how collateral improves bilateral enforcement by conveying rights of seizure that a creditor can exercise against a borrower. It also captures how collateral improves multilateral enforcement by conveying rights of exclusion that a creditor can exercise against other creditors, something we argue is especially useful to distinguish between secured and unsecured debt. The model sets the stage to analyze the restructuring of dispersed claims in and out of bankruptcy, which we describe in more specific models. The framework captures numerous empirical patterns even absent risk, dynamics, and asymmetric information. It thus suggests that those ingredients, while essential in applications, might not be fundamental to what collateral is and does.

Donaldson - Collateral.pdf

3. Private Credit: What Do We Know?

Authors: Victoria Ivashina

DOI: [10.1146/annurev-financial-111824-012401](https://doi.org/10.1146/annurev-financial-111824-012401)

Online: 2026-06-04

Status: Review in Advance

Fields & Theories:

- **Fields:** Financial Intermediation, Corporate Finance, Private Credit, Asset Pricing
- **Theories:** Agency Theory, Information Asymmetry, Monetary Policy Transmission

Abstract:

The explosive growth of private credit over the past 15 years has attracted the attention of an increasing number of policy makers and academic researchers. This article provides an overview of the large-sample research to date, structured around three core themes: the distinct economic function of private credit, the macroeconomic implications of the expansion of private debt, and the evaluation of private debt as an asset class. It highlights areas where there is convincing evidence, such as the overall exposure of the banking sector to private credit, and outlines several other areas where the evidence remains limited, such as the interplay between monetary policy and private credit and the evolution of underwriting standards. Finally, the article situates the evolution of high-yield debt markets, including private credit, within a historical context, highlighting their fundamental connection to the evolution of the private equity industry.

Ivashina - Private Credit What Do We Know.pdf

4. Retail Investors and Trading Execution

Authors: Thomas H. Ernst, Chester S. Spatt

DOI: [10.1146/annurev-financial-111424-124712](https://doi.org/10.1146/annurev-financial-111424-124712)

Online: 2026-06-05

Status: Review in Advance

Fields & Theories:

- **Fields:** Financial Economics, Market Microstructure, Household Finance

- **Theories:** Agency Theory, Technological Change, Transaction Costs

Abstract:

Technology continues to change how investors participate and access financial markets. The switch from human-centered to electronic-based trading has been a decades-long process, with costs dropping at each stage. In this article, we explore how technology has shaped the market for retail investment. While retail investors have enjoyed dramatic decreases in costs, hurdles remain in specific markets. Technology has also changed the markets in which retail investors participate, which raises questions not only about the best regulation of these markets but also about the specific agency in charge of the regulation.

Ernst - Retail Investors and Trading Execution.pdf

5. Microstructure of Blockchain Cryptocurrency Markets

Authors: Alfred Lehar, Christine A. Parlour

DOI: [10.1146/annurev-financial-111524-124828](https://doi.org/10.1146/annurev-financial-111524-124828)

Online: 2026-06-12

Status: Review in Advance

Fields & Theories:

- **Fields:** Financial Economics, Market Microstructure, Cryptocurrency
- **Theories:** Automated Market Makers, Liquidity Provision, Decentralized Finance (DeFi)

Abstract:

Blockchain-based trading venues, so-called decentralized exchanges, are at the heart of the decentralized finance revolution. Automated market makers, simple computer programs on the blockchain, administer liquidity and set the terms of trade. This article summarizes the key mechanisms behind these new markets, how they differ from traditional financial markets, how liquidity is provided, how prices are set, and how liquidity providers get compensated. We include a short guide on how to understand blockchain data and use these data for academic research.

Lehar - Microstructure of Blockchain Cryptocurrency Markets.pdf

6. Bank Failures: The Roles of Solvency and Liquidity

Authors: Sergio Correia, Stephan Luck, Emil Verner

DOI: [10.1146/annurev-financial-111524-123051](https://doi.org/10.1146/annurev-financial-111524-123051)

Online: 2026-06-12

Status: Review in Advance

Fields & Theories:

- **Fields:** Financial Intermediation, Macroeconomics, Banking
- **Theories:** Bank Runs, Liquidity vs Solvency, Information Asymmetry

Abstract:

Bank failures can stem from runs on otherwise solvent banks or from losses that render banks insolvent, regardless of withdrawals. Disentangling the relative importance of liquidity and solvency in explaining bank failures is central to understanding financial crises and designing effective financial stability policies. This article reviews evidence on the causes of bank failures. Bank failures—both with and without runs—are almost always related to poor fundamentals. Low recovery rates in failure suggest that most failed banks that experienced runs were likely fundamentally insolvent. Examiners' postmortem assessments also emphasize the primacy of poor asset quality and solvency problems. Before deposit insurance, runs commonly triggered the failure of insolvent banks. However, runs rarely caused the failure of strong banks, as such runs were typically resolved through other mechanisms, including interbank cooperation, equity injections, public signals of strength, or suspension of convertibility. We discuss the policy implications of these findings and outline directions for future research.

7. Understanding Financial Advisor Misconduct

Authors: Mark Egan, Gregor Matvos, Amit Seru

DOI: [10.1146/annurev-financial-111424-121857](https://doi.org/10.1146/annurev-financial-111424-121857)

Online: 2026-08-06

Status: Review in Advance

Fields & Theories:

- **Fields:** Household Finance, Financial Intermediation, Economics of AI
- **Theories:** Information Asymmetry, Agency Theory, Moral Hazard

Abstract:

Households rely on financial advisors to make investment and savings decisions. Despite their importance, there have long been concerns that financial advisors are prone to misconduct, and research has shown that these concerns are not unfounded. In this article, we examine the literature on advisor misconduct, its causes, and potential policy solutions. We also present new suggestive evidence that increased disclosure and more rigorous licensing exams may help reduce misconduct. Misconduct is lower in regions where households make greater use of BrokerCheck, a public website that provides the career and disclosure histories of advisors. Furthermore, we find that advisors who perform poorly on licensing exams that test knowledge of regulations and ethics are more likely to engage in misconduct in the future. We conclude by discussing how advancements in technology and artificial intelligence have changed, and may further transform, the landscape of financial advising and misconduct.

Egan - Understanding Financial Advisor Misconduct.pdf

8. Currency Speculation

Authors: Pasquale Della Corte, Steven J. Riddiough

DOI: [10.1146/annurev-financial-082123-105444](https://doi.org/10.1146/annurev-financial-082123-105444)

Online: 2026-08-06

Status: Review in Advance

Fields & Theories:

- **Fields:** Asset Pricing, International Finance
- **Theories:** Efficient Market Hypothesis, Risk Premia, Portfolio Theory

Abstract:

Over the past two decades, a growing body of research has documented profitable currency investment strategies. Beginning with the carry trade, the literature has expanded in multiple directions, uncovering diverse sources of excess return predictability linked to prices, trading volumes, and economic fundamentals. This article first reviews this burgeoning literature and provides a framework to organize its key strands for both academics and practitioners. We then turn to the often-overlooked issue of sample selection. Much of the existing work adopts an ad hoc approach to defining the currency universe. We show that strategy performance varies considerably across different currency subsamples. In particular, restricting the sample to countries with open capital accounts and liquid, floating currencies produces substantially weaker returns than when all currencies are included. Nonetheless, we find that combining strategies—regardless of the sample—yields improved and broadly comparable investment performance.

Corte - Currency Speculation.pdf

9. Spillovers from Financial Distress and Bankruptcy: Evidence and Implications for the Real Economy

Authors: Benjamin Iverson, Maxwell Dunbar
DOI: [10.1146/annurev-financial-111524-010440](https://doi.org/10.1146/annurev-financial-111524-010440)
Online: 2026-08-06
Status: Review in Advance

Fields & Theories:

- **Fields:** Corporate Finance, Financial Intermediation, Household Finance, Labor Economics
- **Theories:** Externalities, Network Effects, Financial Contagion

Abstract:

Bankruptcy reallocates assets, labor, and risk across firms and households, yet its consequences extend far beyond the firms and households directly involved. This article reviews empirical and theoretical advances on spillovers from financial distress and bankruptcy—the transmission of financial distress through labor markets, product markets, supply chains, financial networks, and social interactions. We bring together evidence on how corporate bankruptcy affects workers, competitors, suppliers, and local economies, and how these effects aggregate to influence economic outcomes more broadly. We also highlight emerging evidence on consumer bankruptcy spillovers within peer and family networks. The literature consistently shows that these spillovers are substantial and operate through multiple channels. Throughout, we identify open questions about their welfare implications, the design of optimal bankruptcy policy, and opportunities to better characterize spillovers that have not yet been explored.

Iverson - Spillovers from Financial Distress and Bankruptcy Evidence and Implications for.pdf

10. Labor Market Frictions and Asset Prices

Authors: Frederico Belo, Jack Favilukis, Xiaoji Lin
DOI: [10.1146/annurev-financial-111824-014136](https://doi.org/10.1146/annurev-financial-111824-014136)
Online: 2026-08-07
Status: Review in Advance

Fields & Theories:

- **Fields:** Asset Pricing, Labor Economics, Corporate Finance
- **Theories:** Search and Matching, Operating Leverage, Labor Adjustment Costs, Wage Rigidity

Abstract:

We survey research on labor market frictions and their implications for asset pricing, adopting a firm-centric perspective. Starting from a neoclassical, frictionless labor model as the benchmark, we introduce labor adjustment costs and wage rigidity to examine how these frictions shape firm value, risk, and expected returns. Labor adjustment costs make a firm's installed labor force a quasi-fixed asset that directly contributes to valuation, while wage rigidity acts as operating leverage, amplifying profit volatility and raising required returns. The interaction between labor and financial frictions magnifies these effects, as labor commitments constrain financial flexibility and increase default risk. We then consider extensions incorporating labor heterogeneity, capital-skill complementarity, task automation, search-and-matching frictions, and imperfect risk-sharing between firms and workers. For each framework, we review the related theoretical mechanisms and supporting empirical evidence.

Belo - Labor Market Frictions and Asset Prices.pdf
